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[TENTATIVE] ORDER DENYING IN PART AND GRANTING IN PART DEFENDANT JULIA ZHU'S MOTION FOR SUMMARY ADJUDICATION

I. INTRODUCTION

This action arises out of an alleged fraudulent investment scheme. Plaintiffs Guangyu Zhao ("Zhao" or "Plaintiff") and JZ Group USA, Inc. allege that Defendants Bowei Zhang ("Zhang") and Julia Yali Zhu ("Zhu") lured Plaintiff Zhao into making an investment in JZ Group which was set up to acquire and resell luxury vehicles to third parties in China. Defendants Zhang and Zhu acquired six vehicles and sold them to Hong Kong Zhengfang International Trade Co., Ltd. ("HK Zhengfang") through the shell company Gua Investments, Inc. ("Gua Investments") but HK Zhengfang did not receive the six vehicles it purchased. HK Zhengfang sued Plaintiffs, Defendant Zhang, and Gua Investments in case number 19STCV43714. Plaintiffs defended that case, but Defendant Zhang and Gua Investments did not appear. The Court entered a judgment against Plaintiff in the amount of \$1,024,344. Through the litigation of this action, Plaintiff Zhao discovered that Defendants Zhu and Zhang opened corporate accounts in JZ Group's names, transferred corporate funds to Defendants Zhu, Wenia Yang, and Thang Nguyen, and other third parties without Plaintiff's knowledge.

The Complaint alleges causes of action for (1) fraud and deceit, (2) breach of fiduciary duty, (3) breach of covenant of good faith and fair dealing, (4) unfair competition, (5) equitable indemnity, (6) unjust enrichment, (7) imposition of constructive trust, (8) imposition of resulting trust, (9) willful misconduct, and (10) declaratory relief.

On June 5, 2026, Defendant Zhu filed the instant motion for summary judgment or, in the alternative, summary adjudication. On August 19, 2026, Plaintiff filed an opposition. On August 28, 2026, Defendant Zhu filed a reply.

Request for judicial notice

Pursuant to Evidence Code section 452, subdivisions (c) and (d), the Court GRANTS Zhu's request for judicial notice of three records from prior action Exhibits 1-3.

The Court GRANTS Plaintiff's request for judicial notice of Exhibits 1-19, consisting of various government, corporate, property, and court records.

Evidentiary objections

Plaintiff's objections:

Nos. 1, 8, 10 and 11 are SUSTAINED

Nos. 2, 3, 4, 5, 7, 9, 12, 13 and 14 are OVERRULED

Nos. 6 MOOT

Defendants' objections:

· OVERRULED in their entirety

II. LEGAL STANDARD

The purpose of a motion for summary judgment "is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (*Aguilar v. Atl. Richfield Co.* (2001) 25 Cal.4th 826, 843.) "Code of Civil Procedure section 437c, subdivision (c), requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (*Adler v. Manor Healthcare Corp.* (1992) 7 Cal.App.4th 1110, 1119.)

"On a motion for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact." (*Scalf v. D. B. Log Homes, Inc.* (2005) 128 Cal.App.4th 1510, 1519.) A defendant moving for summary judgment "has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established." (Code Civ. Proc., § 437c(p)(2).) "Once the defendant . . . has met that burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (*Id.*) "If the plaintiff cannot do so, summary judgment should be granted." (*Avivi v. Centro Medico Urgente Med. Ctr.* (2008) 159 Cal.App.4th 463, 467.)

"When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment." (*Avivi, supra*, 159 Cal.App.4th at p. 467; see also Code Civ. Proc., § 437c, subd. (c).)

III. ANALYSIS

Zhu moves for summary judgment or alternatively summary adjudication of each of the ten causes of action alleged against her, on the grounds that each cause of action lacks merit. (Notice, pp. 2-3.)

Zhu categorizes Plaintiff's claims as resting on two principal theories: (1) that Zhu, together with Zang "set up" Zhao to bear liability in the prior action (hereinafter "Prior Action"), such that Zhu should bear responsibility for the resulting judgment; and (2) that Zhu misappropriated funds belonging to Zhao and/or Hong Kong Zhengfang International Trade Co., Ltd. and used those funds to acquire real property in Massachusetts. (MSJ, p. 6.)

Collateral estoppel

As an initial matter, Zhu argues that the findings made in the Prior Action collaterally estop Zhao from pursuing his claims against her. According to Zhu, the jury in the Prior Action found Zhao liable for the intentional torts of conversion and intentional interference with contractual relations and awarded \$526,435 in compensatory damages, \$197,869 in prejudgment interest, and \$300,000 in punitive damages based on a finding of malice, oppression, or fraud. Zhu contends that the jury's findings and resulting judgment against Zhao render the entire Complaint subject to summary judgment under the doctrine of collateral estoppel. (MSJ, pp. 7-8.)

Zhao opposes, arguing that Zhu's collateral estoppel argument fails for two reasons: two of the findings Zhu relies on were never made, and the findings that were made did not concern Zhu's conduct. Zhao argues that the Prior Action never addressed, and the jury never decided, whether Zhu defrauded Zhao, breached any duties owed to him, or misappropriated Zhao's or JZ's property. Thus, Zhao contends that collateral estoppel does not bar his claims against Zhu. (Opposition, pp. 17-19.)

The Court is unpersuaded that collateral estoppel applies here to determine whether Zhao's claims against Zhu are barred. Although the Prior Action resulted in findings concerning Zhao's own conduct and liability, it did not determine whether Zhu defrauded Zhao, breached any duties owed to him or misappropriated Zhao's or JZ's property. Those issues were not decided by the jury in the Prior Action. Thus, the prior judgment does not establish that the issues raised by Zhao's claims against Zhu were actually litigated and necessarily decided for claim preclusion.

Based on the foregoing, the Court DENIES summary adjudication on this ground.

First cause of action: fraud & deceit

Zhu argues that the first cause of action for fraud and deceit fails because the findings in the Prior Action establish Zhao's knowing participation with Zhang in the conduct involving the six vehicles. Zhu further argues there is no evidence that she personally engaged in any misconduct, and that she cannot be held vicariously liable for Zhang's conduct. (MSJ, pp. 13-15.)

The burden therefore shifts to Zhao. Zhao presents evidence that Zhu served as JZ's CEO and registered agent, maintained JZ's address at her residence, registered the six vehicles, communicated with counsel regarding the vehicle dispute, and participated in filing a Statement of Information bearing Zhao's name that he denies signing. Zhao argues this evidence supports a finding that Zhu concealed her involvement while inducing his continued investment. (Opposition, p. 20.)

The Court finds that Zhao has raised a triable issue as to Zhu's involvement in the alleged fraud. Zhao presents third-party bank records and deposition testimony indicating otherwise. Zhao also declares that Zhu confirmed she personally went to the Department of Motor Vehicles and registered all six vehicles. (DMF, Nos. 4, 5, 8; Zhao Decl., ¶ 22, Exhs. Z11-Z22.) Thus, a triable issue exists as to Zhu's involvement in the underlying transactions.

The Court DENIES summary adjudication as to this cause of action.

Second cause of action: breach of fiduciary duty

Zhu argues that the breach of fiduciary duty claim fails because she was not Zhao's business partner through JZ and had no fiduciary relationship with him. Zhu maintains that she owed Zhao no contractual or other obligation and cannot be held vicariously liable for any acts or omissions by Zhang. (MSJ, pp. 14-15.)

As discussed above, Zhao has raised a triable issue as to Zhu's involvement in JZ. Zhao presents evidence that Zhu served as JZ's incorporator, officer and registered agent, obtained federal tax identification number using her information, opened its bank account as president, and participated in the vehicle transactions. Zhao contends that, by assuming these responsibilities over the company in which he invested, Zhu occupied a position of trust and confidence. (Opposition, pp.

21-22.)

Based on this evidence, the Court cannot determine as a matter of law that no fiduciary relationship existed. The Court finds that there is a triable issue of fact as to whether a fiduciary relationship existed between Zhu and Zhao. Thus, summary adjudication as to this cause of action is DENIED.

Third cause of action: breach of implied covenant of good faith and fair dealing

As to this cause of action, Zhu argues that it fails because the judgment in the Prior Action precludes Zhao's claim and because there is no evidence that Zhu owed or breached any express or implied contractual obligation to Zhao or JZ. Zhu further argues that she cannot be held vicariously liable for Zhang's conduct. (MSJ, pp. 15-16.)

In opposition, Zhao argues that his investment in JZ and the arrangement by which he was added as a co-signatory on JZ's bank account to protect that investment support the existence of a contractual or quasi-contractual relationship. Zhao contends that Zhu's alleged concealment of the GUA-Hong Kong transaction, diversion of proceeds, and participation in filing the disputed Statement of Information breached the good-faith obligations arising from that arrangement. (Opposition, p. 22.)

The Court finds that Zhao has raised a triable issue of fact as to whether the parties arrangement concerning Zhao's investment in JZ and his addition as a co-signatory on JZ's bank account gave rise to an implied contractual relationship between Zhao and Zhu. Thus, summary adjudication as to this cause of action is DENIED.

Fourth cause of action: unfair competition

Zhu moves for summary adjudication as to this cause of action, raising the same arguments concerning the preclusive effect of the Prior Action and the lack of evidence of any actionable misconduct by Zhu.

The Court finds that there is a triable issue of fact here. As discussed above, Zhao has presented evidence raising a triable issue as to Zhu's involvement in the underlying transactions. Based on this evidence, the Court finds a triable issue of fact as to whether Zhu engaged in an unlawful, unfair, or fraudulent business practice. Thus, summary adjudication as to the fourth cause of action is DENIED.

Fifth cause of action: equitable indemnity

Zhu moves for summary adjudication as to the fifth cause of action, arguing that the claim is premature because Zhao has not paid any portion of the judgment entered in the Prior Action. Zhu further argues that she was not a party to the Prior Action, not a judgment debtor and shares no joint obligation with Zhao. (MSJ, pp. 18-19.)

A fundamental prerequisite to a claim for equitable indemnity is an actual monetary loss through payment of a judgment or settlement. (*Western Steamship Lines, Inc. v. San Pedro Peninsula Hospital* (1994) 8 Cal.4th 100, 107; *Christian v. County of Los Angeles* (1986) 176 Cal.App.3d 466, 471.)

Here, it is undisputed that Zhao has not paid any portion of the judgment entered in the Prior Action. (See Opposition, p.22; U/DMF No. 14.) As such, the claim for equitable indemnity does not accrue until the indemnitee suffers an actual loss through payment of a judgment or settlement. Zhao's claim is premature as a matter of law.

Thus, summary adjudication as to the fifth cause of action is GRANTED.

Sixth, seventh and eighth causes of actions: unjust enrichment, constructive trust and resulting trust

As to these causes of action, Zhu argues that each fails as a matter of law because they are remedies rather than independent causes of action. Zhu further argues that Zhao cannot trace any funds belonging to Zhao, JZ, or Hong Kong to Zhu or to any specific property owned by her. (MSJ, pp. 19-23.)

In opposition, Zhao acknowledges that they are equitable remedies rather than standalone causes of action but argues that the underlying allegations may nevertheless support the imposition of such remedies. (Opposition, pp. 22-23.)

The Court agrees with Zhu. Because these causes of action do not constitute independent causes of action, they cannot survive as separately pleaded claims. This ruling does not preclude Zhao from seeking appropriate equitable remedy based upon any surviving substantive cause of action.

Thus, summary adjudication as to these causes of action is GRANTED.

Ninth cause of action: willful misconduct

Zhu moves for summary adjudication as to this cause of action arguing that willful misconduct is again not an independent cause of action and that Zhao otherwise lacks evidence of actionable misconduct by Zhu. (MSJ, pp. 23-25.)

In opposition, Zhao acknowledges not a separate cause of action. However, but argues that it constitutes an aggravated form of misconduct applicable to his remaining claims.(Opposition, p.24.)

The Court agrees that willful misconduct does not constitute an independent cause of action. To the extent Zhu's alleged willful conduct is relevant to Zhao's surviving claims, Zhao may pursue that theory in connection with those claims.

Thus, summary adjudication as to this cause of action is GRANTED.

Tenth cause of action: declaratory relief

Zhu moves for summary adjudication as to this cause of action arguing that fails because no actual controversy exists between Zhao and Zhu because Zhao cannot establish that Zhu received or possesses any funds or property belonging to Zhao, JZ, GUA or Hong Kong. Zhu further argues that the judgment in the Prior Action does not create a controversy between Zhao and Zhu because Zhu was not a party to that action nor a judgment debtor. (MSJ, p. 26; Reply p. 13.)

In opposition, Zhao argues that an actual controversy exists as to whether Zhu may retain proceeds traceable to transfers from JZ, GUA, or Zhang and whether she must account for those proceeds. (Opposition, p. 24.)

Here, as discussed above, Zhao has raised triable issues concerning Zhu's involvement in the underlying transactions and whether she received or controls proceeds traceable to JZ, GUA, or Zhang. On the present record, the Court cannot determine as a matter of law that no actual controversy exists between Zhao and Zhu.

Thus, summary adjudication as to this cause of action of action is DENIED.

IV. CONCLUSION & ORDER

The Court DENIES Zhu's motion for summary judgment as to the entire Complaint. The Court GRANTS summary adjudication as to the fifth, sixth, seventh, eighth, and ninth causes of action, and DENIES summary adjudication as to the first, second, third, fourth, and tenth causes of action.

Zhu is to give notice.

Dated: September 8, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT